

The principal reason for articulating long-term investment policy explicitly and in writing is to enable the client and the portfolio manager to protect the portfolio from ad hoc revisions of sound long-term policy, and to help them hold to long-term policy when short-term exigencies are most distressing and the policy is most in doubt.

Medical directives, especially for the mentally ill, often take the form of Ulysses contracts, named for the wily Greek who, en route home from the Trojan War, commanded his crew to bind him to the mast of their ship so he could resist the Sirens' song.⁹ The IPS is the Ulysses contract of an individual investor and helps him not to overreact. Shlomo Benartzi, a behavioral finance expert, is a keen advocate of using an IPS as a Ulysses strategy. He says, "Pre-commitment to a rational investment plan is important, because the intuitive impulse to act otherwise is strong."¹⁰

Ann Kaplan, a partner at Circle Wealth Management (and the donor of my chaired professorship), specializes in private wealth management. While the IPS is the capstone of her relationship with clients, she cautions that it takes effort to write, maintain, and reevaluate. "The challenge," she says, is to "translate the individual/family's multiple goals, changing cash flow needs and time horizons with the constraints of their current level of assets, tax status, investment biases, and psycho/social dynamics into a realistic and actionable investment policy."¹¹

Take the challenge: having and hewing to an IPS is worth it.

Do Investors Rebalance?

Yes, but incompletely. Calvet, Campbell, and Sodini (2009) examine Swedish households. Data on Swedish asset holdings are very nearly complete because Swedes pay taxes on both income and wealth. Swedish households have a "surprisingly large propensity to rebalance," in the words of the authors. Wealthy, educated investors tend to hold more diversified portfolios and also tend to rebalance more actively. While there is active rebalancing, there is some inertia so that investors do not completely reverse the passive, buy-and-hold changes in their portfolios. In contrast, Brunnermeier and Nagel (2008) show that, for U.S. households, inertia is the dominant factor determining asset allocation rather than rebalancing. (Maybe Swedish households are smarter, on average, than American ones.) Households start with a fixed allocation and then the asset weights evolve as a function of realized gains and losses on the portfolio. Rebalancing does occur but sluggishly.

⁹Ulysses contracts have been used in medical treatments for mental disorders since the 1970s. Early references are Culver and Gert (1981) and Winston et al. (1982).

¹⁰Shlomo Benartzi, Behavioral Finance in Action, Allianz Global Investors white paper, 2011.

¹¹Taken from Kaplan's Private Wealth Management presentation to my Asset Management class on Sept. 19, 2012.